

U.S. SMID-Cap Software

AI-future of Cybersecurity: An entrepreneur's AI security vision



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With many cybersecurity companies trading [near all-time highs](#) driven by excitement for [AI-driven budget expansion and demand](#), we were fortunate to host Amol Mathur, cyber entrepreneur and recent Palo Alto executive (head of their Cloud and AI businesses), for a discussion on the outlook and opportunity. We really appreciate Amol's perspective, given his deep experience working on leading product at top cyber companies — 20+ years spanning cloud security, data security, application security, endpoint security, and security operations. He has held leadership roles at McAfee, Akamai, IBM, and most recently Palo Alto Networks, where he helped lead Cloud and AI initiatives. AND in many ways, what was most intriguing to us is he chose NOW as the time to jump into an entrepreneurial venture when he could have kept the cushy executive roles. In the back of our mind was a key question: what is it that he's seeing that caused him to take on the risk of being a Founder.

Why now? AI is the most significant cybersecurity shift in decades, and Amol sees massive greenfield for startups. He thinks AI is creating a new attack surface that needs a new generation of security products. This is a greenfield with no established incumbents — a ripe opportunity to found a company to secure AI agents. The key dynamics allowing startups to succeed vs. established vendors really come down to a couple parts. First, a belief that a new AI security buying center will emerge. And second, independent “Switzerland” AI Agent cybersecurity will be advantaged vs. established vendors. In these types of market conditions the history shows new startups often win and become the future giants. He sees a path to get there!

New AI-cyber buyer may emerge, positioning startups to serve them natively. Unlike traditional cybersecurity categories, where vendor leaders and cyber buyers are already well-defined, buyers are currently rapidly deploying AI under board-level mandates while security teams are still trying to understand the associated risks. It means the CISO is tapping team members to look at this problem on a stand-alone basis, and not through one of the existing cyber pillars. This may set up naturally to become a new buying center.

“Switzerland” startups may be well positioned vs. vendors within existing pillars. Amol points out that attacks increasingly span endpoints, cloud environments, identities, applications, and AI systems, making data aggregation and context more important than any individual security product. He believes new winning cybersecurity vendors will collect, correlate, and analyze data across current cyber pillars to produce high-confidence outcomes. He also highlighted the emergence of AI-native SOC platforms and the shift toward separating security analytics from underlying SIEM or cyber data lakes.

What may be the new AI-cyber category? Securing AI agents and agentic workflows. He distinguished between “securing with AI” (using AI to improve existing security product and operations performance) and “securing AI” (protecting AI systems themselves). His view is that AI Agents introduce a fundamentally new threat model because they are trusted systems whose behavior is influenced by prompts, context, and external data. As a result, agent security, agent identity, and understanding agent intent are likely to become major new cybersecurity categories over the next several years. Startups may capture a significant portion of this value, in his mind (and we found this consistent with our CISO interviews and survey where startups are being considered broadly).

BERNSTEIN TICKER TABLE

			21 Aug 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
NET (Cloudflare)	M	USD	293.14	164.00	31.6%	USD	0.92	1.32	1.98	317.0	222.1	147.9
CRWD (CrowdStrike)	M	USD	191.95	103.00	65.0%	USD	0.93	1.25	1.66	205.9	154.2	115.5
FTNT (Fortinet)	M	USD	153.51	102.00	77.0%	USD	2.76	3.62	4.11	55.7	42.5	37.4
OKTA (Okta)	O	USD	135.14	141.00	30.0%	USD	3.50	3.91	4.64	38.6	34.5	29.1
PANW (Palo Alto Networks)	O	USD	357.87	253.00	74.7%	USD	3.43	3.63	4.89	104.4	98.5	73.1
S (SentinelOne)	O	USD	21.19	19.00	6.9%	USD	0.20	0.36	0.59	105.7	58.4	35.7
ZS (Zscaler)	O	USD	181.75	224.00	(53.2)%	USD	3.28	4.21	5.42	55.5	43.2	33.6
SPX			7,674.37									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

CRWD, OKTA, S base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

No changes to our models, price targets, or ratings.

The discussion tends to support our previously expressed thesis that during the emergence of new technical architectures and buyers that existing vendors may receive a more limited portion of the upside. When asked about what makes it easier for a startup to realize the upside, he emphasized both the advantage of a new “Switzerland” that looks across existing cyber vendors’ pillars/platforms and that the new buyers in enterprises often prefer a new best-of-breed offering. On both these counts he also went deeper in our discussion, pointing out his experience with what we think is the classic “innovators dilemma” — the existing priorities and investments make it hard for an incumbent to build a winning offering given all the other priorities they have, have a clean story relative to their current platform, and access the new buyers with the current commercial team.

Net net: we are watching for startups in “AI for cybersecurity” and “Securing AI” that could emerge and become winners. The category leader(s) may become standalone and public, while their trailing competitors may be acquired by large incumbent platforms and vendors looking for a toehold in the gold rush.

Please read our recent notes for perspectives on Cybersecurity investment implications for Q2 earnings and H2 overall in our recent notes:

- [Cybersecurity: Off-cycle readthrough from earnings thus far](#)
- [Cybersecurity: mid-'26 CISO conference call transcript covering budget trends and priorities + AI-impact](#)
- [Cybersecurity Mid-'26 CISO survey: AI-driven demand continues!](#)
- [Growth Software & Cyber: H2'26 outlook flips the script???](#)

DETAILS

The discussion was broad, including:

- Which parts of cybersecurity are likely to benefit the most from AI-induced tailwinds
- Whether network or endpoint security is “better” positioned to capture the upside
- Where will existing vendors vs. new entrants more likely reap these benefits
- How far will AI Labs push into (and potentially disrupt) the existing cybersecurity landscape
- If AI will shift the balance of spend between the SOC (i.e., the CISO’s world) and Cloud Ops (e.g., Datadog’s vision of cybersecurity)
- How “platformization” shakes out — still a winner or not post AI

Amol’s central thesis was that AI represents the largest platform shift in cybersecurity in decades, creating both a new attack surface and a new generation of security products. This is what motivated him to leave Palo Alto Networks and start a company focused on securing AI agents. Unlike traditional cybersecurity markets with established leaders, AI security remains a largely greenfield opportunity, while enterprises are rapidly deploying AI under board-level mandates despite still trying to understand the associated risks.

His perspective: AI is not simply another feature within cybersecurity, but a fundamental architectural change. The most compelling opportunities appear to be in AI-native security operations, agent security, and products that bridge the gap between security teams and the developers and operators who actually drive remediation. The industry’s next generation of winners will likely be those that combine deep security expertise with a clear understanding of how AI changes both the threat landscape and enterprise workflows.

WHICH PARTS OF CYBERSECURITY ARE LIKELY TO BENEFIT THE MOST FROM AI-INDUCED TAILWINDS: OPERATIONAL EFFECTIVENESS + REMEDIATION, DETECTION & RESPONSE (AKA “DR”)

Perhaps the most important distinction Amol made was between “securing with AI” and “securing AI.” Securing with AI refers to using AI to improve existing cybersecurity functions such as threat detection, triage, red teaming, and vulnerability management. Effectively there is the operational benefits of AI to improve the SOC’s human efforts across prevention, remediation, and response. AI use by adversaries means attacks are coming faster and reaction time needs to move to machine speed — enhancing the SOC with AI tools can help them keep up. On the other hand, Securing AI, is about protecting AI systems themselves, especially autonomous AI agents.

Amol framed cybersecurity around three outcome-oriented pillars the SOC cares about, all needing to become much faster to evolve in the face of AI-enhanced threat actors:

- Risk Prevention: Prevent vulnerabilities before deployment through secure-by-design development, hardening, code scanning, and threat modeling.
- Risk Remediation: Find and fix exposures in production environments through vulnerability management, exposure management, and posture management.
- Detection & Response: Rapidly identify and contain threats once they occur through technologies such as SIEM, SOC, EDR, and XDR.

The biggest near-term opportunities appear to be in real time remediation and detection/response, where large data volumes and complex decision-making are well suited for AI-driven automation. His joke was that we will see more and more xxDR where the xx is some letters from vendors talking about their own DR capabilities. And even the use of AIDR to talk about the fact they are doing AI-specific DR.

Agent security and Identity could be the other major investment categories... but other than Identity infrastructure, it might create new product categories (and winners?) He argued that AI agents introduce an entirely new threat

model because they are trusted entities that can be influenced by prompts, external content, tools, and context. Traditional security approaches that focus on identifying unauthorized behavior are often insufficient when an agent's actions may appear legitimate while still causing harm. This leads to a major opportunity around agent security and identity. While identity infrastructure vendors (e.g. Okta) will play an important role by providing infrastructure for agent identities and permissions, Amol believes that effective agent security requires understanding an agent's intent in real time. The long-term goal is a world in which agents receive dynamically scoped permissions based only on the specific task they are performing. Achieving that vision requires visibility into prompts, objectives, workflows, and agent behavior, creating a new category of security products focused on agent observability and protection.

IS NETWORK OR ENDPOINT SECURITY “BETTER” POSITIONED TO CAPTURE THE “DR” UPSIDE? YES + NO

A recurring theme throughout the discussion was that modern attacks increasingly span multiple domains, making cross-platform visibility more important than ever. Endpoint, network, cloud, SASE, and identity tools each provide only a partial view of risk. As attacks move across these boundaries, security operations platforms and next-generation SIEMs remain critical because they aggregate data and context from multiple sources and connect the dots.

Network and endpoint will capture some DR opportunity... but broader upside more likely to accrue to a “Switzerland” across them? Amol's point of view is that the individual pillar owners will naturally win in their Next Generation SIEM DR areas, serving the buyer responsible for them — e.g., the NOC or endpoint team in the case of Palo Alto or CrowdStrike. But he also felt that there is an added winning strategy to having a cross-cutting access to the data and context required to generate high-confidence outcomes across cyber pillars.

AI-native SOC operations vendors operating above the cyber pillars are emerging to solve the signal-to-noise problem that has plagued security teams for years. By using AI agents as automated analysts, these platforms investigate alerts, correlate evidence across systems, and prioritize incidents that truly require human attention. In addition, we may see the traditional model in which SIEM vendors own both the data layer and analytics layer is being challenged. Data platforms such as Snowflake and Databricks are trying to increasingly argue that data should remain under customer control while security analytics are delivered separately on top. So these new AI-native SOC startups (e.g., Torq, 7AI, Prophet, Dropzone) now operate across all the pillars, with the pillars' cyber context stored in master data repositories hosted in data lake style vendors.

HOW FAR WILL AI LABS PUSH INTO (AND POTENTIALLY DISRUPT) THE EXISTING CYBERSECURITY LANDSCAPE

We discussed the increasing focus of AI Labs (e.g., OpenAI, Anthropic) on cybersecurity or at least cybersecurity related topics. Certainly this is somewhat a risk remediation effort for them — they want to be sure the code written with their AI Coding Agents can't be accused of creating security holes, or that their AI Agents can't be used to find and exploit weakness in technology or be leveraged for social engineering campaigns. So we jointly agreed that some of the effort is really self-preservation.

Amol believes AI Labs are most likely to focus on Application Security (e.g., code security, code scanning, software testing). Specifically he thinks Application Security capabilities will increasingly become a differentiating feature among AI coding assistants because enterprise buyers of AI Coding Agents will evaluate not only how effective these tools are at producing valuable code, but also how secure that code is. The area he expects to face the greatest disruption is code scanning and vulnerability prioritization. Historically, organizations have struggled with overwhelming numbers of findings and poor prioritization. AI models can reason across code bases, evaluate exploitability, and determine which vulnerabilities actually matter. As a result, cybersecurity vendors across multiple categories face a growing challenge from customers asking why they should pay for specialized products if a large language model can already perform a meaningful portion of the work.

...and not to enter any broader cybersecurity pillars. However, he does not expect AI Labs to aggressively enter broader cybersecurity categories such as security operations, detection and response, or exposure management. Partially because it's not required to address the strategic rationale that causes AI Labs to get into Application Security. But in many ways the even more critical observation is that these broader cyber pillars require significant domain expertise, workflows, integrations, and productization beyond the capabilities of AI Labs. Lack of strategic need + difficulty to enter is not a great recipe for AI Labs to prioritize broader cybersecurity build-out at a time when they are fighting more important battles for market share and quality of their AI Agents.

WILL AI SHIFT THE BALANCE OF SPEND BETWEEN THE SOC (I.E., THE CISO'S WORLD) AND CLOUD OPS (E.G., DATADOG'S VISION OF CYBERSECURITY)? MAYBE

Amol stressed that many security vendors focus too heavily on serving security teams rather than the people who actually remediate risk. He framed organizations as having "facilitators" and "doers." Security teams identify and prioritize risks as the "facilitators", while developers, DevOps teams, and operators ultimately implement fixes as the "doers". Products that seamlessly integrate cybersecurity insights into developer or DevOps or Cloud Ops workflows, rather than forcing developers or DevOps or Cloud Ops into separate security tools, are likely to be most successful. He pointed to Wiz as an example of a company that succeeded by explicitly building for both security teams and DevOps / Cloud Operations practitioners.

AI creates even more challenges for the "doers" as code and AI Agent scale goes up. There will be more and more demand for this cybersecurity insight at the time "doers" are working.

HOW "PLATFORMIZATION" SHAKES OUT – STILL A WINNER OR NOT POST AI

Amol defines a platform as a common data layer with shared taxonomy, combined with a common automation layer to enable the security capabilities built on top. Because these capabilities operate from the same understanding of risk, organizations can achieve faster, better, and more cost-effective outcomes across domains. A successful platform should be able to connect and correlate data together across all IT and security assets such as infrastructure, application, endpoints, workforce, and AI systems, as the context from this common data layer is essential for key security functions such as risk prioritization, remediation, or understand the blast radius in detection and response.

Platforms also provide additional benefits, although these are secondary compared with the value created by the common data layer. From a commercial perspective, organizations can benefit from simplified vendor management, contracting, and support. A common user interface can also improve operational efficiency for some teams. However, this benefit is less relevant across highly specialized silos, such as firewall administration teams and SOC teams, whose missions and workflows differ significantly. Furthermore, the emergence of headless architectures may reduce the long-term importance of fixed-function user interfaces, as experiences become increasingly delivered through flexible workflows and AI-driven interactions.

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